Do Prediction Markets Know What the Fed Will Do?

Kalshi and Polymarket versus futures, the dollar and Treasury bills, 2023–2026

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The question. Kalshi and Polymarket let anyone bet on the next Federal Reserve decision: cut, hold or hike. Their prices read as probabilities. How good are those probabilities, how fast do they absorb CPI and payrolls news compared with professional markets, can the difference be traded, and does one venue lead the other?

31 meetings
every Fed-decision market on both venues, May 2023 – Jan 2027

327,000 trades
around 81 CPI and payrolls releases and 28 FOMC decisions

1 second
S&P 500 futures and USD/JPY around each release since 2025

20 tests
7 scripts, one command reproduces every table and chart

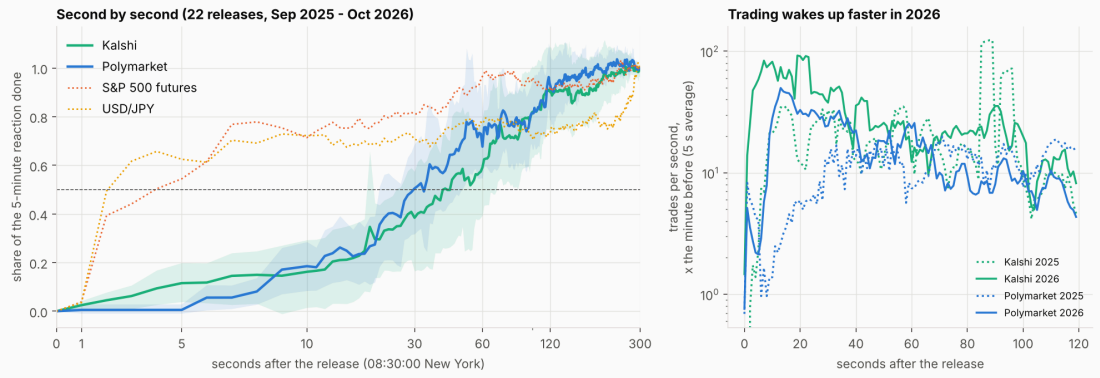
FIVE FINDINGS

1. **Slow at the news, but catching up.**
   After CPI and payrolls, futures and the dollar do half of their 5-minute reaction in 3–4 seconds. Kalshi needs about 41 seconds and Polymarket 30 (Sep 2025 – Oct 2026), down from 95–110 seconds in 2025.
2. **The lag can be traded, briefly and in small size.**
   Reading USD/JPY's first 5 seconds and trading the next meeting's favourite earns +3 to +4 cents per contract after spread and fees (+5 to +7 in close calls). After 30 seconds it is indistinguishable from zero, and only a few thousand dollars trade at those prices.
3. **Neither venue leads.**
   Kalshi and Polymarket react equally fast. Their prices for the same outcome leave a locked-in profit after costs in about a fifth of hours, by half a cent, falling from 27% of hours in 2024 to 13% in 2026.
4. **The forecasts are good.**
   The favourite outcome happened at 28 of 28 meetings one day ahead and 27 of 28 a week ahead (the miss: the 50 bp cut of September 2024), against 68% for "the Fed holds".
5. **Increasingly tied to bonds.**
   Day to day they move with the 6-month T-bill: correlation 0.37 / 0.23 in 2023, 0.66 / 0.61 in 2025.

SECONDS TO HALF THE REACTION

Market	2025	Sep 2025 – Oct 2026
USD/JPY	3	3 [2, 9]
S&P 500 futures	–	4 [2, 10]
Polymarket	110	30 [21, 49]
Kalshi	93	41 [19, 70]

Validate before you estimate. Four data traps were found before any result: Kalshi's old prices sent in dollars but read as cents (100× too small), Polymarket minute prices stamped a few seconds late, tickers with ">" that broke the download on Windows, and empty 2023–24 Polymarket order books stuck at 0.50. Then four checks passed: both venues paid out the true decision at all 28 meetings, outcome prices add up to about 1, the venues agree hour by hour (correlation 0.994), and every market jumps in the release minute.



Finding 1. Left: share of each market's 5-minute reaction done after h seconds (22 releases with second-level data for all four markets; bands: 95% CI). Right: trades per second after the release, relative to the minute before: trading at 08:30 woke up much faster in 2026.

WHY IT MATTERS

Prediction markets are quoted as the public's view of the Fed. They forecast well but react to news a minute behind professional markets; the gap is closing and survives only up to the cost of exploiting it.

READ MORE

Full paper, code and tests on GitHub. Data: Kalshi and Polymarket APIs, London Strategic Edge, FRED. Python with AI coding assistance; design and interpretation are the author's. Companion study: Who Moves First?

For research and educational purposes only; not investment advice. 1 cent per contract = 1% of a contract's $1 payout. CI = 95% bootstrap confidence interval.